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UNITED STATES DISTRICT COURT

CENTRAL DISTRICT OF CALIFORNIA

SOUTHERN DIVISION

MIGUEL LERMA, JR., individually nd on behalf of all others similarly situated, Plaintiff, vs. AMAZON.COM SERVICES, LLC., AMAZON LOGISTICS, INC., ACCURATE BACKGROUND, LLC, and DOES 1-5. Defendants.	Case No.: 8:22−cv−01727 FWS (JDEx) **FIRST AMENDED CLASS ACTION COMPLAINT AND DEMAND FOR JURY TRIAL** District Judge Fred W. Slaughter Magistrate Judge John D. Early

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Plaintiff Miguel Lerma, Jr. ("Plaintiff"), individually and on behalf of all others similarly situated, brings this First Amended Class Action Complaint ("Complaint") against defendant Amazon.com Services, LLC and Amazon Logistics, Inc. (together "Amazon") and Accurate Background, LLC ("Accurate Background")[1], and alleges as follows:

SUMMARY OF ACTION

1. Plaintiff, individually and on behalf of all others similarly situated, brings this action for damages and other legal and equitable remedies, based on: (i) Amazon's and Accurate Background's unlawful and unfair conduct in using information disclosed in the California Department of Justice Megan's Law Website ("Megan's Law Website") for employment purposes; (ii) Amazon's failure to conduct an individualized assessment of whether Plaintiff's conviction history has a direct and adverse relationship with the specific duties of an Amazon Fresh store associate that justified denying him the position; (iii) Accurate Background's unlawful and unfair conduct in furnishing to Amazon investigative background reports containing records of arrest, indictment, misdemeanor complaint, or conviction of a crime that antedate the report by more than seven years; and (iv) Accurate Background's unlawful and unfair conduct in furnishing consumer background reports to Amazon while knowing that Amazon (and Accurate Background itself as an agent and/or fiduciary representative of Amazon) unfairly and unlawfully uses information contained in the consumer reports.

2. In so doing, Amazon has violated the: (i) California Megan's Law, Penal Code § 290.46 ("Megan's Law"); (ii) California Fair Chance Act, Government Code § 12952; and (iii) California Unfair Competition Law ("UCL"), Business and Professions Code § 17200. Accurate Background has violated: (i) California Megan's Law, Penal Code § 290.46; (ii) California's Investigative Consumer Reporting Agencies Act ("ICRAA"), Civil Code § 1786.18; (iii) federal Fair Credit

[1] Amazon and Accurate Background are collectively referred to in the Complaint as "Defendants."

Reporting Act ("FCRA"), 15 U.S.C. § 1681b(b)(2); (iv) the UCL, Business and Professions Code § 17200.

3. With respect to Amazon and Accurate Background's unlawful and unfair use of information on the Megan's Law Website, pursuant to the applicable statutes, Plaintiff seeks an injunction ordering that, moving forward, Amazon and Accurate Background cease from using information on the Megan's Law Website for employment purposes. With respect to Amazon's failure to conduct an individualized assessment of whether an applicant's conviction history has a direct and adverse relationship with the specific duties of the job that justify denying the applicant the position, Plaintiff seeks an injunction ordering that, moving forward, Amazon institute a robust program to provide for the individualized assessment of each prospective employee or employee with a known conviction history. With respect to Accurate Background's furnishing of investigative background reports containing records of arrest, indictment, misdemeanor complaint, or conviction of a crime that antedate the report by more than seven years, pursuant to the applicable statutes, Plaintiff seeks an injunction ordering that, moving forward, Accurate Background cease such conduct. With respect to Accurate Background's unlawful and unfair conduct in furnishing consumer background reports to Amazon while knowing that Amazon unfairly and unlawfully uses information from the Megan's Law Website for employment purposes, pursuant to the applicable statutes, Plaintiff seeks an injunction ordering that, moving forward, Accurate Background cease such conduct.

THE PARTIES

4. Plaintiff is an individual consumer residing in the State of California, Orange County.

5. Defendant Amazon.com Services, LLC is a Delaware corporation headquartered in Seattle, Washington.

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6. Defendant Amazon Logistics, Inc. is a Delaware corporation headquartered in Seattle, Washington. Amazon.com Services, LLC and Amazon Logistics, Inc. are collectively referred to as "Amazon" in this Complaint.

7. Defendant Accurate Background, LLC ("Accurate Background") is a consumer reporting agency that assembles and provides consumer reports to third parties for employment purposes and facilitates third party background checks by issuing pre-adverse action notices and adverse action notices. Accurate Background is based in Irvine, California.

8. Doe Defendants 1-5 are the background check companies and individuals who provided background information about Plaintiff, obtained a background report on Plaintiff without authorization, and/or used information on the Megan's Law Website for employment purposes.

JURISDICTION AND VENUE

9. This is an action brought under 15 U.S.C. § 1681b, 1681n and § 1681o of the FCRA. The Court has jurisdiction over this action pursuant to 28 U.S.C. § 1331 because it arises under the laws of the United States. This Court also has jurisdiction over this action pursuant to the Class Action Fairness Act, 28 U.S.C. § 1332(d)(1). Plaintiff brings a class action under Federal Rule of Civil Procedure 23. Plaintiff and Amazon are citizens of different states, and on information and belief, the amount in controversy exceeds the sum of $5,000,000.00.

10. Venue in this district is proper under 28 U.S.C. § 1391(b)(2) because Plaintiff is a resident of Orange County and a substantial part of the events or omissions giving rise to the claim occurred in this District.

STATEMENT OF FACTS

A. Following His Conviction And Release, Plaintiff Worked Diligently To Rehabilitate And Become A Productive Member Of His Community

11. Plaintiff is an Airforce Veteran and former Federal Officer for the United States Department of Homeland Security ("DHS").

12. After high school, Plaintiff enlisted in the United States Airforce and served our Nation's armed forces for six years. Plaintiff was honorably discharged as a Staff Sergeant of the 49th Security Forces Squadron in 2005. Following his military career, Plaintiff was a Customs and Border Protection Officer for approximately six years. In 2011, Plaintiff was arrested and charged with committing sexual offenses, and was convicted in January 2013. As a result, Plaintiff appears as a registered sex offender on the Megan's Law Website, along with information about the basis for his convictions.

13. Since his release, Plaintiff has worked extremely diligently to gain the skills and knowledge to start a professional career and successfully reintegrate into his community. Among other things, Plaintiff attended school full time and obtained his Associate in Arts degree from Coastline College in Business Administration, and then obtained his Bachelor of Arts degree in Finance from the College of Business & Economics at California State University, Fullerton ("Cal State Fullerton") in June 2021.

14. While attending school, for three years Plaintiff worked as a Veteran Services Specialist at the Veterans Resource Center at Coastline College and as a Peer Intake Specialist at the Veterans Resource Center at Cal State Fullerton. There, among other things, he planned career readiness training, assisted student veterans with Veterans Affairs benefits and resources, built and maintained professional relationships with community partners on behalf of the schools, and coached veteran students on financial planning and communication skills. Plaintiff also served as the President of the Student Veterans of America (SVA) Chapter at Coastline College. In addition, while a student at Cal State Fullerton Plaintiff worked as an investment analyst at Titan Capital Management, overseeing a $1.5 million investment portfolio of Cal State Fullerton's Philanthropic Foundation, conducting research and analysis on securities and capital markets, and writing comprehensive reports for the Foundation's Board of Directors.

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15. However, following his graduation from Cal State Fullerton Plaintiff has faced extreme difficulty finding a steady, full-time job. To make ends meet, Plaintiff has held a number of part-time positions. And to make himself more marketable, he recently completed and received Microsoft SQL certification and hopes to start a career as a data analyst or financial advisor.

16. Plaintiff deeply regrets the actions that led to his conviction, and since his release he has made every effort to rebuild and redefine himself by educating himself and working diligently to become a productive member of his community. However, the "powers that be," including Amazon and Accurate Background, continue to place roadblocks that have made it very difficult for Plaintiff to transition back to a "regular" life and be a contributing member of society.

B. Based On Information Obtained By Accurate Background, Amazon And Acccurate Background Used Information From The Megan's Law Website For Employment Purposes And Refused To Hire Plaintiff

17. In late 2021, Plaintiff applied for a seasonal associate position with Amazon at its fulfillment center in Mission Viejo, California. On or about November 5, 2021, Amazon offered Plaintiff the job, "contingent upon passing a drug test, background check, and completing other employment requirements[.]"

18. Plaintiff passed the drug test, completed the other employment requirements, and cleared the background check. On November 15, Plaintiff began work with Amazon. Plaintiff performed very well and was interested in working further at Amazon.

19. The seasonal position with Amazon was to end in March 2022. On February 26, 2022, Amazon emailed Plaintiff stating:

> The last day of employment will be the date that was communicated to you on the notification you received. ***You are marked as re-hire eligible and can reapply at any time after your assignment has officially ended*** and your separation has been processed. Job postings can be found at http://amazondelivers.jobs. Thank you again for your

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> great work during your temporary assignment with us. Your contribution to Amazon, the team, and our customers is truly appreciated. (emphasis added)

20. On February 28, Amazon emailed Plaintiff stating, "Thank you for contacting the Employee Resource Center (ERC) today! We are glad to hear that you want to continue working for us as a Permanent associate!" In the email, Amazon provided instructions for applying for a permanent position with Amazon.

21. On March 4, 2022, Plaintiff's seasonal employment ended with Amazon ended.

22. Plaintiff applied to be a store associate with Amazon at its Amazon Fresh store in Mission Viejo. Amazon Fresh is an online and brick and mortar grocery store. His primary responsibilities as a store associate were to fulfill online Amazon Fresh orders, receive stock and replenish products.

23. On or about March 18, Amazon offered Plaintiff the job contingent upon Plaintiff passing a background check.

24. On or about March 22, Accurate Background generated a background report on Plaintiff. On its website, Accurate Background touts that its "better reporting" includes conducting criminal background checks, including its "Sex Offender Registry Search." *See accurate*, "Criminal Background Check Services," (available at https://www.accurate.com/employment-screening/criminal-background-checks/) (last visited on November 15, 2022).

25. On March 23, Accurate Background, as an agent and at the direction of Amazon, emailed Plaintiff a pre-adverse action notice. Among other things, it stated that it was notifying Plaintiff "of possible adverse action based upon consumer report," and:

> The item(s) under review include, in whole or in part, the following information:
>
> RAPE DURESS MENACE FELONY GUILTY - 04/04/2011

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RAPE BY USE OF DRUGS FELONY GUILTY - 04/04/2011

(emphasis in original).

26. The April 4, 2011 felonies listed in the March 2022 background report antedate the report by more than seven years.

27. On April 6, Accurate Background, as an agent and at the direction of Amazon, emailed Plaintiff a post-adverse action notice, stating:

> We now write to advise you of an adverse action that Amazon has taken against you. Specifically, Amazon has decided not to enter into, or to discontinue, an employment or independent contractor relationship with you.
>
> The following provided information was used as the basis for the decision:
>
> RAPE DURESS MENACE FELONY GUILTY - 04/04/2011
>
> RAPE BY USE OF DRUGS FELONY GUILTY - 04/04/2011
>
> (emphasis in original).

28. On information and belief, at no time on or after March 22 did Amazon conduct an individualized assessment of whether Plaintiff's conviction history has a direct and adverse relationship with the specific duties of an Amazon Fresh store associate. Amazon did not even consider the fact that it had previously employed Plaintiff.

29. Amazon and Accurate Background, as an agent and/or fiduciary representative of Amazon, refused to hire Plaintiff because of conviction information Accurate Background obtained from the Megan's Law website and disclosed in the background report for Amazon. On information and belief, Amazon hires and authorizes Accurate Background to use information in the background report provided by Accurate Background to make employment decisions for and on behalf of Amazon. Accurate Background acted as an agent and/or fiduciary representative

for Amazon and acted within the course and scope of such agency or fiduciary relationship in using the information from the Megan's Law Website to deny Plaintiff employment.

30. If Defendants would give Plaintiff a fair chance at employment, Plaintiff would like to apply again to work for Amazon.

CLASS ACTION ALLEGATIONS

31. Plaintiff brings this action on behalf of himself and all others similarly situated (the "Classes"), pursuant to Federal Rule of Civil Procedure 23(b)(2) and 23(b)(3), based on the following class definitions:

> **Megan's Law Class**: All persons in California who applied for employment with Amazon and were denied employment as a result of Amazon and/or Accurate Background's use of information disclosed in the Megan's Law Website, during the relevant statute of limitations period.
>
> **Fair Chance Class**: All persons in California who applied for employment with Amazon and were denied employment as a result of their conviction history.
>
> **ICRAA Class**: All persons in California on whom Accurate Background conducted a background search and furnished an investigative consumer report containing records of arrest, indictment, misdemeanor complaint, or conviction of a crime that, from the date of disposition, release, or parole, antedate the report by more than seven years, during the relevant statute of limitations period.
>
> **FCRA Class**: All persons in California who applied for employment with Amazon and on whom Accurate Background conducted a background search and furnished a consumer report containing sex offender registry information from the Megan's Law Website that was used by Amazon and/or Accurate Background for employment decisions, during the relevant statute of limitations period.

32. Excluded from the Classes are: (1) Defendants, any entity or division in which Defendants have a controlling interest, and their legal representatives, officers, directors, assigns, and successors; and (2) the Judge to whom this case is assigned and the Judge's staff. Plaintiff reserves the right to amend or expand the Classes'

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definitions to seek recovery on behalf of additional persons as warranted as facts are learned in further investigation and discovery.

Megan's Law Class

33. Plaintiff and members of the Megan's Law Class were harmed by the acts of Amazon and Accurate Background in at least the following ways: Defendants used conviction information in the Megan's Law Website for purposes relating to employment, Defendants denied Plaintiff and other members of the Megan's Law Class employment based on information from the Megan's Law Website, and this violation caused Plaintiff and Megan's Law Class members to lose an opportunity to earn income, have a lawful paying job, contribute to the workforce, be productive members of their community, and severe emotional distress, anxiety, deep frustration and loss of sleep.

34. Common questions of fact and law exist as to all members of the Megan's Law Class, which predominate over any questions affecting only Plaintiff or individual members of the Megan's Law Class. These common legal and factual questions, which do not vary between the Megan's Law class members, and which may be determined without reference to the individual circumstances of any Megan's Law Class members, include, but are not limited to, the following:

A. Whether, within four years prior to the filing of this Complaint, Defendants used information in the Megan's Law Website for purposes relating to employment;

B. Whether, within four years prior to the filing of this Complaint, Defendants denied Plaintiff and other members of the Megan's Law Class employment based on information from the Megan's Law Website;

C. Whether Plaintiff and the Megan's Law Class members were damaged thereby, and the extent of damages for such violation;

D. Whether such conduct is unlawful; and

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E. Whether Defendants should be enjoined from engaging in such conduct in the future.

35. As a person that who was denied employment as a result of information in the Megan's Law Website, Plaintiff is asserting claims that are typical of the Megan's Law Class.

Fair Chance Class

36. Plaintiff and members of the Fair Chance Class were harmed by the acts of Amazon in at least the following ways: Amazon intended to deny Plaintiff and members of the Fair Chance Class a position of employment solely or in part because of their conviction history and did not make an individualized assessment of whether their conviction history had a direct and adverse relationship with the specific duties of the job that justified denying them the position. This violation caused Plaintiff and Fair Chance Class members to lose an opportunity to earn income, have a lawful paying job, contribute to the workforce, be productive members of their community, and severe emotional distress, anxiety, deep frustration and loss of sleep.

37. Common questions of fact and law exist as to all members of the Fair Chance Class which predominate over any questions affecting only individual members of the Fair Chance Class. These common legal and factual questions, which do not vary between the Fair Chance Class members, and which may be determined without reference to the individual circumstances of any Fair Chance Class members, include, but are not limited to, the following:

A. Whether within three years prior to the filing of this Complaint Amazon conducted individualized assessments of job applicants with a conviction history;

B. Whether Amazon's conduct was unlawful; and

C. Whether Amazon should be ordered to comply with the Fair Chance Act in the future.

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38. As a person with job applicant with a conviction history who was denied employment by Amazon without an individualized assessment, Plaintiff is asserting claims that are typical of the Fair Chance Class.

ICRAA Class

39. Plaintiff and members of the ICRAA Class were harmed by the acts of Accurate Background in at least the following ways: Accurate Background furnished information to Amazon in an investigative consumer report containing records of arrest, indictment, misdemeanor complaint, or conviction of a crime that, from the date of disposition, release, or parole, antedate the report by more than seven years. This violation caused Plaintiff and ICRAA Class members to lose an opportunity to earn income, have a lawful paying job, contribute to the workforce, be productive members of their community, and severe emotional distress, anxiety, deep frustration and loss of sleep.

40. Common questions of fact and law exist as to all members of the ICRAA Class which predominate over any questions affecting only individual members of the ICRAA Class. These common legal and factual questions, which do not vary between the ICRAA Class members, and which may be determined without reference to the individual circumstances of any ICRAA Class members, include, but are not limited to, the following:

A. Whether within two years prior to the filing of this Complaint Accurate Background furnished information to third parties (including Amazon) in an investigative consumer report containing records of arrest, indictment, misdemeanor complaint, or conviction of a crime that, from the date of disposition, release, or parole, antedate the report by more than seven years;

B. Whether Accurate Background's conduct was unlawful; and

C. Whether Accurate Background should be enjoined from engaging in such conduct in the future.

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41. As a person that who applied for employment and on whom Accurate Background furnished an investigative consumer report containing records of arrest, indictment, misdemeanor complaint, or conviction of a crime that, from the date of disposition, release, or parole, antedate the report by more than seven years, Plaintiff is asserting claims that are typical of the ICRAA Class.

FCRA Class

42. Plaintiff and members of the FCRA Class were harmed by the acts of Accurate Background in at least the following ways: Accurate Background conducted background search and furnished a consumer report containing sex offender registry information from the Megan's Law Website that Accurate Background *knew* would be unlawfully used by Amazon and/or Accurate Background for employment decisions. This violation caused Plaintiff and FCRA Class members to lose an opportunity to earn income, have a lawful paying job, contribute to the workforce, be productive members of their community, and severe emotional distress, anxiety, deep frustration and loss of sleep.

43. Common questions of fact and law exist as to all members of the FCRA Class which predominate over any questions affecting only individual members of the FCRA Class. These common legal and factual questions, which do not vary between the FCRA Class members, and which may be determined without reference to the individual circumstances of any FCRA Class members, include, but are not limited to, the following:

A. Whether Accurate Background conducted a background search and furnished a consumer report containing sex offender registry information from the Megan's Law Website knowing that the information would be unlawfully used by Amazon and/or Accurate Background for employment decisions;

B. Whether Accurate Background's conduct was unlawful; and

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C. Whether Accurate Background should be enjoined from engaging in such conduct in the future.

44. As a person that who applied for employment with Amazon and on whom Accurate Background furnished a background consumer report containing sex offender registry information from the Megan's Law Website that was used by Amazon and/or Accurate Background for employment decisions, Plaintiff is asserting claims that are typical of the FCRA Class.

The Classes

45. The members of the Classes are so numerous that joinder of all members would be unfeasible and impractical. The membership of the Classes is currently unknown to Plaintiff at this time; however, given that, on information and belief, Amazon has over a million employees and receives thousands of employment applications in California each year, and Accurate Background furnishes background reports for tens of thousands of prospective employees in California per year, the members of each of the Classes are so numerous that joinder of all members is impracticable. The disposition of their claims in a class action is a superior method to individual actions and will provide substantial benefits to the parties and the Court.

46. Plaintiff will fairly and adequately protect the interest of the members of the Classes because Plaintiff has no interests which are adverse to the interest of absent class members and because Plaintiff has retained counsel who possess significant class action litigation experience regarding alleged violations of consumer statutes.

47. A class action is superior to other available methods of fair and efficient adjudication of this controversy because individual litigation of each of the claims of the members of the Classes is impracticable. Even if every Class member could afford individual litigation, the court system could not. It would be unduly burdensome to the courts in which individual litigation of numerous issues would proceed. Individualized litigation would also present the potential for varying, inconsistent, or contradictory judgments and would magnify the delay and expense to all parties and to

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the court system resulting from multiple trials of the same complex factual issues. By contrast, the conduct of this action as a class action presents fewer management difficulties, conserves the resources of the parties and of the court system, and protects the rights of each member of the Classes.

48. The prosecution of separate actions by individual members of the Classes would create a risk of adjudications with respect to them that would, as a practical matter, be dispositive of the interests of the other Class members not parties to such adjudications or that would substantially impair or impede the ability of such non-party Class members to protect their interests.

49. Amazon and Accurate Background have acted or refused to act in respects generally applicable to the Classes, thereby making appropriate final and injunctive relief with regard to the members of the Classes as a whole.

FIRST CAUSE OF ACTION

CALIFORNIA MEGAN'S LAW

Cal. Pen. Code § 290.46 *et seq*.

(Against Defendants)

50. Plaintiff repeats, re-alleges, and incorporates by reference all other paragraphs, as if fully set forth herein.

51. California Megan's Law, Penal Code § 290.46 ("Megan's Law"), requires that the Department of Justice maintain a public website identifying persons who are registered sex offenders on the website.

52. To ensure that registered offenders are not discriminated against based on information in the website, the Megan's Law also prohibits the use of any information disclosed in the Megan's Law Website from being used for employment purposes. Cal. Penal Code § 290.46(j)(2)(E).

53. Amazon and Accurate Background (as an agent and/or fiduciary representative of Amazon) used the information about Plaintiff contained in the Megan's Law Website for employment purposes and denied Plaintiff employment

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with Amazon. Despite Amazon's employment of Plaintiff just a month before, Amazon and Accurate Background used information contained in the Megan's Law Website to conclude that Plaintiff was not fit to work at Amazon.

54. As a result of Amazon and Accurate Background's violations, Plaintiff and members of the Class are entitled to recover actual damages, including lost wages, damages for emotional distress, loss of sleep, anxiety, treble damages, statutory damages, a civil penalty of $25,000.00, exemplary damages, and attorney fees and costs. Plaintiff and members of the Megan's Law Class are also entitled to injunctive/preventative relief ordering that, moving forward, Amazon and Accurate Background cease from using information on the Megan's Law Website for employment purposes.

SECOND CAUSE OF ACTION

FAIR CHANCE ACT

Cal. Gov. Code § 12952

(Against Amazon)

55. Plaintiff repeats, re-alleges, and incorporates by reference all other paragraphs, as if fully set forth herein.

56. California's Fair Chance Act, Government Code § 12952, provides that "[a]n employer that intends to deny an applicant a position of employment solely or in part because of the applicant's conviction history shall make an individualized assessment of whether the applicant's conviction history has a direct and adverse relationship with the specific duties of the job that justify denying the applicant the position." Gov. Code § 12952(c). In making the assessment, the employer must "consider all the following: (i) The nature and gravity of the offense or conduct. (ii) The time that has passed since the offense or conduct and completion of the sentence. (iii) The nature of the job held or sought." *Id.*

57. Amazon is an employer.

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58. Plaintiff is an applicant who applied for a position of employment with Amazon.

59. Amazon, and/or Accurate Background on behalf and as agent of Amazon, reviewed Plaintiff's conviction history in the background report and based on the conviction history intended to deny Plaintiff a position of employment solely or in part because of his conviction history, even though Amazon had previously employed Plaintiff.

60. Amazon did not make an individualized assessment of whether Plaintiff's conviction history had a direct and adverse relationship with the specific duties of the store associate position that Plaintiff applied for that would justify denying him the position.

61. The duties of the store associate position included fulfilling online Amazon Fresh orders, receiving stock and replenishing products. Amazon did not consider the nature and gravity of Plaintiff's offense or conduct, the decade that had passed since the offense or conduct and completion of the sentence, or the nature of the job held or sought. The fact that Amazon had previously employed Plaintiff and notified him stating, "You are marked as re-hire eligible and can reapply at any time after your assignment has officially ended," and "We are glad to hear that you want to continue working for us as a Permanent associate!" was not even considered. It is abundantly clear that Amazon does not provide applicants with a conviction history a "fair chance" at employment.

62. As a result of Amazon's violations, Plaintiff and members of the Fair Chance Class are entitled to recover actual damages, including lost wages, damages for emotional distress, loss of sleep, anxiety, treble damages, statutory damages, punitive damages, and attorney fees and costs. Plaintiff and members of the Fair Chance Class are also entitled to injunctive/preventative relief ordering that, moving forward, Amazon comply with the Fair Chance Act and provide each and every

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applicant with a conviction history an individualized assessment to fairly determine whether she or he is fit for the position.

THIRD CAUSE OF ACTION

INVESTIGATIVE CONSUMER REPORTING AGENCIES ACT

Cal. Civ. Code § 1786.18

(Against Accurate Background)

63. Plaintiff repeats, re-alleges, and incorporates by reference all other paragraphs, as if fully set forth herein.

64. California Investigative Consumer Reporting Agencies Act ("ICRAA"), Civil Code § 1786.18, prohibits an investigative consumer reporting agency from making or furnishing any investigative consumer report containing, among other things, "[r]ecords of arrest, indictment, information, misdemeanor complaint, or conviction of a crime that, from the date of disposition, release, or parole, antedate the report by more than seven years." Cal. Civ. Code § 1786.18(a)(7).

65. Accurate Background is an "investigative consumer reporting agency" because it, "for monetary fees or dues, engages in whole or in part in the practice of collecting, assembling, evaluating, compiling, reporting, transmitting, transferring, or communicating information concerning consumers for the purposes of furnishing investigative consumer reports to third parties." Cal. Civ. Code § 1786.2(d).

66. An "investigative consumer report" means a consumer report in which information on a consumer's character, general reputation, personal characteristics, or mode of living is obtained through any means." Cal. Civ. Code § 1786.2(c).

67. Plaintiff is a "consumer" under the ICRAA because he is "a natural individual who has made application to a person for employment purposes." Cal. Civ. Code § 1786.2(b).

68. Accurate Background violated the ICRAA by furnishing an investigative consumer report on Plaintiff containing records of arrest, indictment, and/or conviction that antedates the report by more than seven years. Plaintiff's background

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report states, "Rape Duress Menace Felony Guilty – 04/04/2011." April 4, 2011 antedates the March 2022 background report by more than 7 years. Accurate Background's violation was grossly negligent or willful because it was aware of the ICRAA yet elected to ignore and violate the statute.

69. As a result of Accurate Background's violations, Plaintiff and members of the ICRAA Class are entitled to recover actual damages, including lost wages, damages for emotional distress, loss of sleep, anxiety, treble damages, statutory damages, punitive damages, and attorney fees and costs. Plaintiff and members of the ICRAA Class are also entitled to injunctive/preventative relief ordering that, moving forward, Accurate Background ceases from including records of arrest, indictment, information, misdemeanor complaint, or conviction in investigative consumer reports that antedate the report by more than seven years.

FOURTH CAUSE OF ACTION

FAIR CREDIT REPORTING ACT

15 U.S.C. § 1681b(b)(1)

(Against Accurate Background)

70. Plaintiff repeats, re-alleges, and incorporates by reference all other paragraphs, as if fully set forth herein.

71. Accurate Background is a "consumer reporting agency" as defined by the FCRA.

72. Plaintiff is a "consumer" as defined by the FCRA, on who a "consumer report" was generated and furnished, as defined by the FCRA.

73. Accurate Background furnished a consumer report to Amazon with knowledge that the information from the consumer report will be used in violation of the law, including California's Megan's Law. Indeed, on information and belief, Accurate Background, as an agent or fiduciary representative for Amazon, used the consumer report in violation of California's Megan's Law by making employment decisions on behalf of Amazon based on information from the Megan's Law Website

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contained in the consumer report. Thus, Accurate Background is in violation of the FCRA, 15 U.S.C. § 1681b(b)(1).

74. As a result of Accurate Background's negligent violation of the FCRA, Plaintiff and FCRA Class members are entitled to actual damages, and reasonable attorneys' fees and costs. 15 U.S.C. § 1681n.

75. Accurate Background also acted with knowledge, willfulness, and reckless disregard of the law, thereby entitling Plaintiff and FCRA Class members to statutory damages of $1,000.00 and punitive damages in an amount to be determined at trial. 15 U.S.C. § 1681n.

FIFTH CAUSE OF ACTION

UNFAIR COMPETITION LAW

California Business & Professions Code §17200

(Against All Defendants)

76. Plaintiff repeats, re-alleges, and incorporates by reference all other paragraphs, as if fully set forth herein.

77. The UCL defines unfair competition to include any unlawful, unfair, or fraudulent business act or practice. The UCL provides that a court may order injunctive relief as a remedy for any violations of the UCL.

78. Beginning on an exact date unknown to Plaintiff, but at all times relevant herein, Amazon and Accurate Background have committed acts of unfair and unlawful competition proscribed by the UCL, including the practices alleged herein. The acts of unfair competition include the following:

a. Amazon used information contained in the Megan's Law Website for employment purposes.

b. Accurate Background, as an agent of Amazon, used information contained in the Megan's Law Website for employment purposes.

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c. Accurate Background included prohibited information in the investigative consumer report on Plaintiff and members of the ICRAA Class.

d. Accurate Background furnished consumer reports to Amazon with knowledge that the information from the consumer report will be used in violation of the law, including California's Megan's Law.

79. Defendants' unlawful conduct has caused and continues to cause substantial injury to Plaintiff and the members of the Classes. As a result of Defendants' unfair and unlawful conduct, Plaintiff lost money and/or property.

80. The business acts and practices of Defendants, as hereinabove alleged, constitute unfair business practices in that said acts and practices offend public policy and are substantially injurious to consumers and prospective employees. These acts and practices have no utility that outweighs their substantial harm to consumers and prospective employees.

81. The unlawful and unfair business acts and practices of Defendants described herein present a continuing threat to Plaintiff and members of the general public in that Amazon and Accurate Background are currently engaging in such acts and practices, and will persist and continue to do so unless and until an injunction is issued by this Court.

82. Pursuant to Business and Professions Code § 17203, Plaintiff seeks a injunction ordering that, moving forward:

a. Amazon and Accurate Background cease from using information on the Megan's Law Website for employment purposes.

b. Accurate Background cease from including records of arrest, indictment, information, misdemeanor complaint, or conviction of a crime that antedate the report by more than seven years.

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c. Accurate Background cease from furnishing consumer reports that include information from the Megan's Law Website knowing that such information will be used in violation of the law.

83. Pursuant to Code of Civil Procedure § 1021.5, Plaintiff seeks recovery of his attorney's fees, costs and expenses incurred in the filing and prosecution of this action

PRAYER FOR RELIEF

WHEREFORE, Plaintiff prays that judgment be entered against Amazon, and Plaintiff be awarded the following legal and equitable relief:

1. Certifying the Classes and pursuant to Federal Rule of Civil Procedure 23, certifying Plaintiffs as the representatives of the Classes, and designating their counsel as counsel for the Classes

2. Actual and compensatory damages for injuries suffered by Plaintiffs and the Classes;

3. Statutory damages and treble damages;

4. Punitive/exemplary damages;

5. Civil penalties;

6. Injunctive/preventative relief ordering Amazon and Accurate Background ordering that, moving forward, Amazon and Accurate Background cease from using information on the Megan's Law Website for employment purposes;

7. Injunctive relief ordering that, moving forward, Accurate Background cease from including records of arrest, indictment, information, misdemeanor complaint, or conviction of a crime that antedate the report by more than seven years;

8. Injunctive relief ordering that moving forward Accurate Background cease from furnishing consumer reports that include information from the Megan's Law Website knowing that such information will be used in violation of the law;

9. Reasonable attorney's fees and costs to bring and maintain the instant action;

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10. For such other and further relief as the Court may deem just and proper.

TRIAL BY JURY

Pursuant to the Seventh Amendment to the Constitution of the United States of America, Plaintiff is entitled to, and demands, a trial by jury.

Dated: November 15, 2022

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/s/ Raymond Y. Kim
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